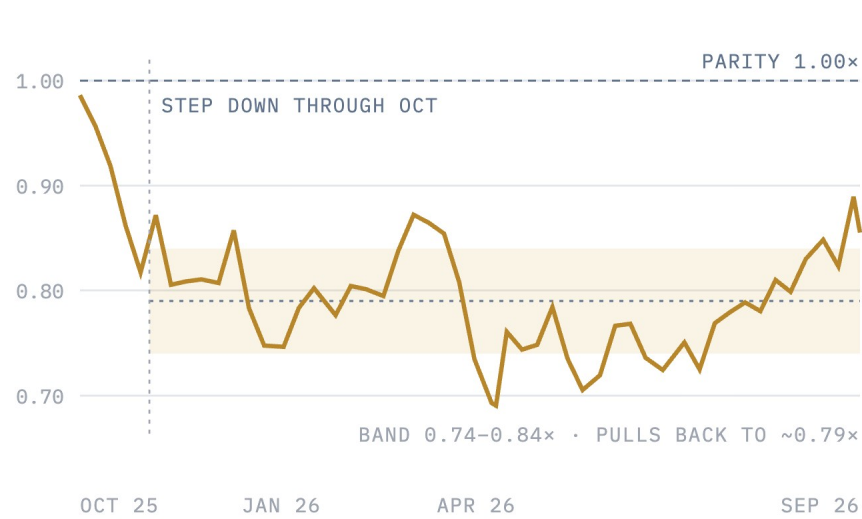


The swings in SBET’s discount fade. The discount itself hasn’t.

SBET has traded below the value of its net assets, almost all of it ETH, on every session since 30 September 2025. Swings in that discount halve in about two to three weeks. What they revert to is itself a discount: the level stepped down once, through October 2025, and monthly averages have wandered between about 0.74× and 0.84× since. ETH explains almost none of the day-to-day moves, and a year of history cannot say whether 0.8× is where the discount belongs or only where it sits.

01 · WHAT REVERTS: THE SWINGS, AROUND A LEVEL

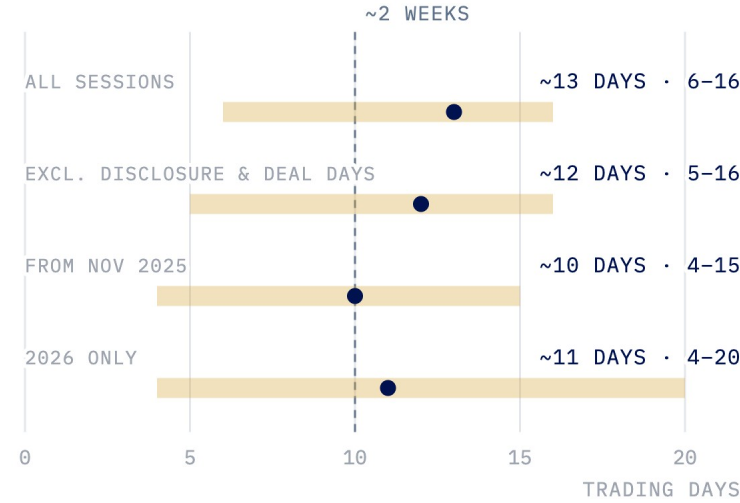
Daily mNAV — market value over net assets — against the level its swings pull back to, about 0.79×, and the range of monthly averages.



The October move was a break, not a swing: it never reverted. Since November the discount has pulled back toward roughly 0.79×, with monthly averages inside about 0.74–0.84×.

02 · HOW FAST: THE HALF-LIFE OF A SWING

Trading days for a deviation from that level to halve, on four cuts of the sample.



Dots are bias-corrected estimates; bars span the 10th–90th percentile of a bootstrap. Formal tests reject a random walk: a month’s variance is about 60% of what one would produce.

03 · WHAT MOVES IT: MOSTLY NOT OBSERVABLE

Candidate drivers of the daily change in the multiple, tested on the same sessions.

DAY TO DAY	Little
ETH RETURN, SAME DAY	~2% explained
ETH DOWN DAYS VS. UP DAYS	No difference
ETH VOLATILITY	No effect
SEC FILING DAYS	No effect
OVER MONTHS	Suggestive
ETH PRICE LEVEL	Moves with it, corr ~0.6
HISTORY BEHIND THAT	One ETH cycle

The discount widens a touch when ETH falls — which is most of why beta sits a little above one — but the effect is only marginally significant. Monthly, the discount has been narrower with ETH higher; on one down-and-up cycle that is an observation, not a finding.

~0.79×

THE LEVEL SWINGS PULL BACK TO

0.74–0.84×

MONTHLY AVERAGES SINCE NOVEMBER 2025

~2–3 weeks

HALF-LIFE OF A SWING · RANGES ROUGHLY 1–4 WEEKS

~0.6

VARIANCE RATIO AT ONE MONTH · SWINGS PARTLY UNDO THEMSELVES

~2%

OF DAILY MOVES IN THE MULTIPLE EXPLAINED BY ETH

The market has not closed the discount. What is left is what management does about it.

Log mNAV on basic-equivalent shares, 30 Sep 2025 – 25 Sep 2026, about 249 sessions; the same series as the return decomposition. Half-life from a first-order autoregression, Kendall bias-corrected; ranges from 2,000 stationary block-bootstrap draws (mean block 10 sessions). Robustness cuts exclude sessions on which a holdings, share or balance-sheet disclosure steps the series, and the October 2025 and June 2026 offering weeks. Augmented Dickey-Fuller rejects a unit root (p about 0.01–0.03); KPSS rejects a constant level over the full span but not from November 2025. Economic (treasury-stock) mNAV runs about 2% above basic-equivalent at 28 Aug 2026 inputs. The half-life describes this sample; it is not a forecast. Not affiliated with Sharplink, Inc. The author holds SBET shares.

ETH drives about three-quarters of SBET. The discount’s share fades with the horizon.

Split SBET’s moves into their sources to see how much the discount explains: ETH accounts for roughly three-quarters of the variation, and the multiple most of the rest — about a quarter day to day, closer to a fifth over a month, as its swings fade. Since October 2025 the widening discount has subtracted from returns while ETH per share has held roughly flat. Beta to ETH is about 1.08.

01 · WHAT’S HAPPENING: SBET VS. ETH AND THE MARKET

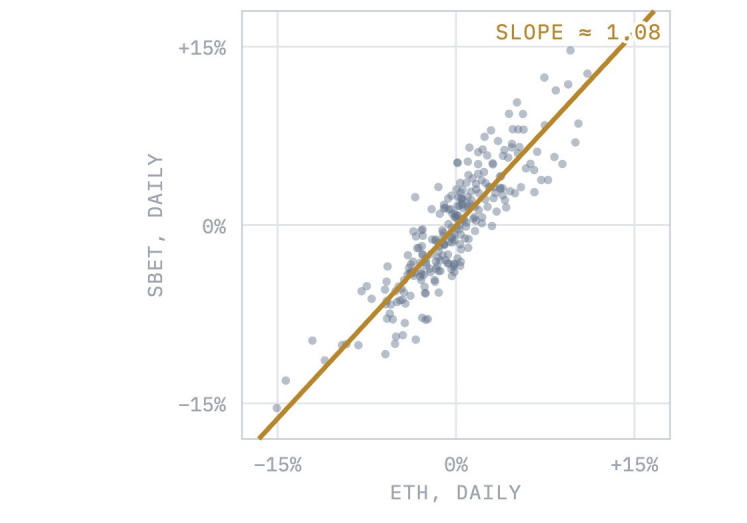
Indexed to 100 at 30 September 2025. SBET fell further than the ETH it holds while the market it lists in rose.



About eight points of underperformance in a year. Buyers assume a treasury stock tracks its ETH. Something sits in between.

02 · WHAT’S IN BETWEEN: THE MULTIPLE

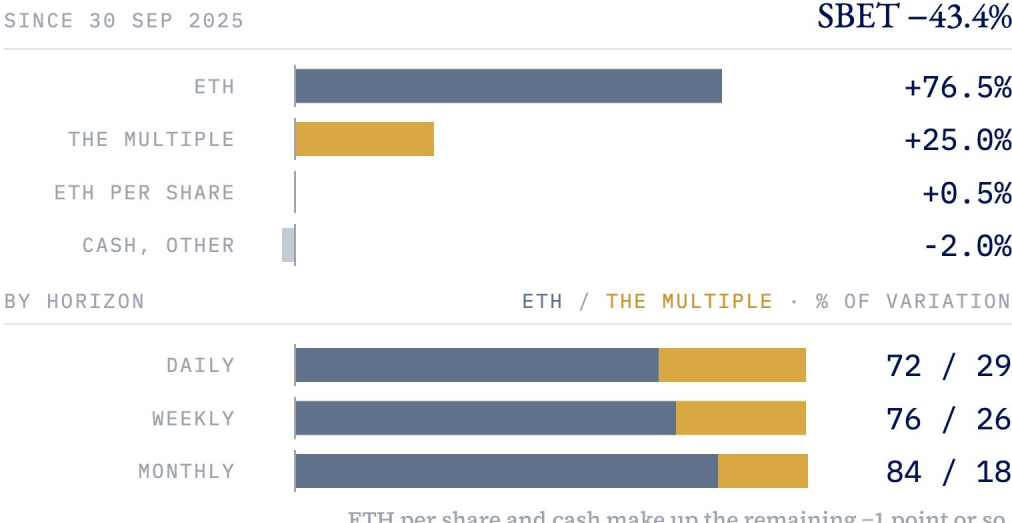
Each dot is a session: ETH’s move across, SBET’s up. The line is how far SBET moves with ETH.



The slope is the beta, about 1.08. The scatter around the line is mostly the multiple: most sessions land within about 3 points of it, and over a year that spread adds up to roughly ± 37 points of tracking error.

03 · WHAT ARE THE SOURCES: ETH VS. MULTIPLE VS. OTHER

Split the year’s move into its sources, then the variation behind it. Right of zero pushed the stock the way it went; left pushed back.



The multiple’s share shrinks as the horizon lengthens, because its swings fade, but ETH leads at every horizon. ETH per share, 4.11 to 4.10, barely moved.

1.08

BETA TO ETH · A LITTLE MORE THAN ONE UNIT

1.23×

VOLATILITY VS ETH · 79% AGAINST 64%

0.78

R² ON ETH · THE REST IS MOSTLY THE MULTIPLE

±37 pts

TRACKING ERROR · A TYPICAL YEAR’S GAP TO ETH

4.11 → 4.10

ETH PER 1,000 SHARES · ROUGHLY FLAT

Fifteen months as an ETH treasury company. At 37% tracking error, a typical year can leave SBET roughly 37 points above or below ETH, mostly from the discount moving — so a single year’s gap says little about whether the treasury strategy is working.

Daily log returns, NYSE sessions. Identity: SBET return = ETH return + ETH-per-share growth + mNAV change + cash and other; shares are log contributions, which add exactly. Horizon shares are each component’s covariance with SBET over SBET’s variance, on overlapping 1-, 5- and 21-session windows. Tracking error is the annualised standard deviation of SBET’s daily return less ETH’s. mNAV is on basic-equivalent shares (common plus pre-funded warrants) with total ETH on the company’s as-if-redeemed basis at spot, stepping between disclosure dates — The window runs 30 Sep 2025 to 25 Sep 2026; 30 Sep 2025 is the first date with a disclosed basic-equivalent share count. ETH is Coinbase ETH-USD at the NYSE close. Scatter: daily log returns with the least-squares line. Series rebuilt from the full disclosure set; supersedes figures in the 18 Sep return decomposition. SBET and S&P prices Yahoo Finance; holdings, share counts and balance sheet from SBET 8-Ks and Forms 10-Q and 10-K. Not affiliated with Sharplink, Inc. The author holds SBET shares.